

STATE OF NEW YORK

6654--B

2025-2026 Regular Sessions

IN ASSEMBLY

March 6, 2025

Introduced by M. of A. LASHER, LEE, PHEFFER AMATO -- read once and referred to the Committee on Housing -- recommitted to the Committee on Housing in accordance with Assembly Rule 3, sec. 2 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- again reported from said committee with amendments, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the private housing finance law, in relation to authorizing a reduction of taxes pursuant to shelter rent

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Paragraph (a) of subdivision 1 of section 33 of the private
2 housing finance law, as amended by section 1 of part L of chapter 56 of
3 the laws of 2025, is amended to read as follows:

4 (a) Upon the consent of the local legislative body of any municipality
5 in which a project is or is to be located, the real property in a
6 project shall be exempt from local and municipal taxes, other than
7 assessments for local improvements, to the extent of all or part of the
8 value of the property included in such project which represents an
9 increase over the assessed valuation of the real property, both land and
10 improvements, acquired for the project at the time of its acquisition by
11 the limited-profit housing company, provided, however, that the real
12 property in a project acquired for purposes of rehabilitation shall be
13 exempt to the extent of all or part of the value of the property
14 included in such project, and further provided that the amount of such
15 taxes to be paid for projects located or to be located in a municipality
16 with a population of less than one million shall not be less than ten
17 per centum of the annual shelter rent or carrying charges of such
18 project except that for projects located or to be located in a city of a
19 population of one million or more, the amount of such taxes shall be no
20 more than five per centum of the annual shelter rent or carrying charges
21 of the project or, upon consent of the local legislative body, the

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 amount of such taxes may be further reduced to five per centum or less,
2 including a full reduction, of the annual shelter rent or carrying
3 charges of the project. Upon the consent of the local legislative body
4 of a municipality, other than a city with a population of one million or
5 more, in which the project is located, the amount of such taxes may be
6 further reduced to five per centum or less, including a full reduction,
7 of the annual shelter rent or carrying charges of the project. Any such
8 granted consent to reduce the amount of such taxes shall expire every
9 ten years. If such authorization is not renewed, the rate of taxation
10 shall revert to the level established before the consent was granted.
11 Shelter rent shall mean the total rents received from the occupants of a
12 project less the cost of providing to the occupants electricity, gas,
13 heat and other utilities. Total rents shall include rent supplements and
14 subsidies received from the federal government, the state or a munici-
15 pality on behalf of such occupants but shall not include interest
16 reduction payments pursuant to subdivision (a) of section two hundred
17 one of the Federal Housing and Urban Development Act of nineteen hundred
18 sixty-eight. The tax exemption shall operate and continue so long as the
19 mortgage loans of the company, including any additional mortgage loan
20 the proceeds of which are used primarily for the residential portion of
21 the project, which additional loan is approved by the commissioner or
22 the supervising agency, are outstanding.

23 § 2. Paragraph (c) of subdivision 1 of section 33 of the private hous-
24 ing finance law, as amended by section 2 of part L of chapter 56 of the
25 laws of 2025, is amended to read as follows:

26 (c) Notwithstanding the provisions of paragraphs (a) and (b) of this
27 subdivision, the real property of a state urban development corporation
28 project acquired, owned, constructed, managed or operated by a company
29 incorporated pursuant to the not-for-profit corporation law and this
30 article shall be entitled to all the benefits provided by section four
31 hundred twenty-two of the real property tax law. The real property of a
32 state urban development corporation project, other than a state urban
33 development corporation project acquired, owned, constructed, managed or
34 operated by a company incorporated pursuant to the not-for-profit corpo-
35 ration law and this article, shall be exempt from all local and munici-
36 pal taxes, other than assessments for local improvements, to the extent
37 of the value of the property included in such project as represents an
38 increase over the assessed valuation of the real property, both land and
39 improvements, acquired for the project on the date of its acquisition by
40 the limited-profit housing company, provided that the amount of such
41 taxes to be paid for projects located or to be located in a municipality
42 with a population of less than one million shall not be less than ten
43 per centum of the annual shelter rent or carrying charges of such
44 project, as defined in paragraph (a) hereof, except that in a city with
45 a population of one million or more, the amount of such taxes shall be
46 no more than five per centum of the annual shelter rent or carrying
47 charges of the project or, upon consent of the local legislative body,
48 the amount of such taxes may be further reduced to five per centum or
49 less, including a full reduction, of the annual shelter rent or carrying
50 charges of the project. Upon the consent of the local legislative body
51 of the municipality, other than a city with a population of one million
52 or more, in which the project is located, the amount of such taxes may
53 be further reduced to five per centum or less, including a full
54 reduction, of the annual shelter rent or carrying charges of the
55 project. Any such granted consent to reduce the amount of such taxes
56 shall expire every ten years. If such authorization is not renewed, the

1 rate of taxation shall revert to the level established before the
2 consent was granted. The tax exemption shall operate and continue so
3 long as the mortgage loans of such limited profit housing company,
4 including any additional mortgage loan the proceeds of which are used
5 primarily for the residential portion of the project, which additional
6 loan is approved by the commissioner or the supervising agency, are
7 outstanding and the project is continued to be operated as a limited-
8 profit housing project. If a state urban development corporation project
9 qualifying for tax exemption pursuant to this paragraph is sold, with
10 the approval of the commissioner, to another limited-profit housing
11 company, such successor company shall be entitled to all the benefits of
12 this paragraph. In the event that such sale is to a company incorporated
13 pursuant to the not-for-profit corporation law and this article, such
14 successor company shall be entitled to all the benefits provided by
15 section four hundred twenty-two of the real property tax law.

16 § 3. Paragraph (d) of subdivision 1 of section 33 of the private hous-
17 ing finance law, as amended by section 3 of part L of chapter 56 of the
18 laws of 2025, is amended to read as follows:

19 (d) Notwithstanding the provisions of paragraphs (a) and (b) of this
20 subdivision, when a project is financed with a mortgage loan pursuant to
21 this article or article three of this chapter and (i) there is a partic-
22 ipation, new loan or investment pursuant to section twenty-three-b of
23 this article or (ii) such mortgage loan is assigned, modified or satis-
24 fied pursuant to section twenty-three-a or forty-four-b or subdivision
25 twenty-two-a of section six hundred fifty-four of this chapter, the real
26 property of the project shall be exempt from all local and municipal
27 taxes, other than assessments for local improvements, to the extent of
28 the value of the real property included in such project which represents
29 an increase over the assessed valuation of the real property, both land
30 and improvements, acquired for the project on the date of its original
31 acquisition for the project by the original mortgagor under a mortgage
32 loan pursuant to this article or article three of this chapter, provided
33 that the amount of taxes to be paid on the project for projects located
34 or to be located in a municipality with a population of less than one
35 million shall not be less than ten per centum of the annual shelter rent
36 or carrying charges of such project, as defined in paragraph (a) of this
37 subdivision, except that in a city with a population of one million or
38 more, the amount of such taxes shall be no more than five per centum of
39 the annual shelter rent or carrying charges of the project or, upon
40 consent of the local legislative body, the amount of such taxes may be
41 further reduced to five per centum or less, including a full reduction,
42 of the annual shelter rent or carrying charges of the project. Upon the
43 consent of the local legislative body of the municipality, other than a
44 city with a population of one million or more, in which the project is
45 located, the amount of such taxes may be further reduced to five per
46 centum or less, including a full reduction, of the annual shelter rent
47 or carrying charges of the project. Any such granted consent to reduce
48 the amount of such taxes shall expire every ten years. If such authori-
49 zation is not renewed, the rate of taxation shall revert to the level
50 established before the consent was granted. Such tax exemption shall
51 commence in each instance from the date when the project becomes subject
52 to a mortgage insured by the federal government and shall operate and
53 continue so long as a mortgage on such project is insured or held by the
54 federal government or so long as the project is thereafter owned by the
55 federal government or so long as any residual indebtedness is outstand-
56 ing, whichever is longer. When there is a participation, new loan or

1 investment pursuant to section twenty-three-b of this article, such
2 participation, new loan or investment shall be deemed to be the equiv-
3 alent of a federally insured mortgage for purposes of this paragraph.
4 Nothing contained in this paragraph shall be construed to limit or
5 otherwise impair the benefits available to any company eligible for
6 exemption from taxation pursuant to section thirty-one or section thir-
7 ty-six-a of this article, section four hundred twenty-two or section
8 four hundred sixty-seven-c of the real property tax law, or section
9 fifty-eight of the public housing law. The foregoing shall not be deemed
10 to authorize any company to receive the benefits of any exemption from
11 taxation in contravention of the provisions of section two of article
12 eighteen of the constitution.

13 § 4. Subdivision 4 of section 33 of the private housing finance law,
14 as amended by section 4 of part L of chapter 56 of the laws of 2025,
15 is amended to read as follows:

16 4. Notwithstanding the provisions of subdivision one ~~[hereof]~~ of this
17 section, when a mutual company is organized under this article to facil-
18 itate the acquisition of a building by residents thereof, the amount of
19 local and municipal taxes, other than assessments for local improve-
20 ments, to be paid on the real property included in such project, both
21 land and improvements, shall not exceed twenty per centum of the annual
22 shelter rent or carrying charges of such project, as defined in para-
23 graph (a) of subdivision one ~~[hereof]~~ of this section; provided, howev-
24 er, that where such acquisition of a building by residents thereof
25 involves the financing of rehabilitation or other improvement as well as
26 acquisition, upon the consent of the local legislative body of the muni-
27 cipality in which the project is located the amount of such taxes for
28 projects located or to be located in a municipality with a population of
29 less than one million may be further reduced provided that such amount
30 shall not be less than ten per centum of the annual shelter rent or
31 carrying charges of the project, as defined in paragraph (a) of subdivi-
32 sion one ~~[hereof]~~ of this section, or such other amount less than ten
33 per centum approved by the local legislative body of such municipality;
34 or the company may in lieu of requesting such consent apply for the
35 benefits of the local law, if any, enacted pursuant to section four
36 hundred eighty-nine of the real property tax law. Notwithstanding any
37 other provision of this subdivision, in a city with a population of one
38 million or more, the amount of such taxes shall be no more than five per
39 centum of the annual shelter rent or carrying charges of the project or,
40 upon consent of the local legislative body, the amount of such taxes may
41 be further reduced to five per centum or less, including a full
42 reduction, of the annual shelter rent or carrying charges of the
43 project. Upon the consent of the local legislative body of the muni-
44 cipality, other than a city with a population of one million or more, in
45 which the project is located, the amount of such taxes may be further
46 reduced to five per centum or less, including a full reduction, of the
47 annual shelter rent or carrying charges of the project. Any such granted
48 consent to reduce the amount of such taxes shall expire every ten years.
49 If such authorization is not renewed, the rate of taxation shall revert
50 to the level established before the consent was granted. Such tax
51 exemption, if any, granted pursuant to this article shall operate and
52 continue so long as a loan made under this article or any subsequent
53 loan approved by the commissioner or the supervising agency to enhance
54 the residential portion of the project and the project is continued to
55 be operated for the purposes set forth in this article is outstanding.

§ 5. Paragraph (a-4) of subdivision 1 of section 125 of the private housing finance law, as amended by chapter 430 of the laws of 2025, is amended to read as follows:

(a-4) Any inconsistent provision of law notwithstanding, in a city having a population of one million or more, where a local legislative body has acted to extend the tax exemption of a mutual redevelopment company for the maximum period provided for in paragraph (a-2) of this subdivision, the local legislative body may grant an additional tax exemption for a period of up to fifty years, provided that the amount of taxes to be paid during any such period of tax exemption shall be not less than an amount equal to the lesser of (i) five per centum of the annual rent or carrying charges of the project minus utilities for the residential portion of the project, (ii) upon the authorization of the local legislative body, less than five per centum of the annual rent or carrying charges of the project minus utilities for the residential portion of the project, up to a full tax exemption, or [~~(ii)~~] (iii) the taxes payable by such company for the residential portion of the project during the tax year commencing July first, two thousand and ending on June thirtieth, two thousand one. Such grant of an additional tax exemption [~~period~~] shall take effect upon the expiration of the maximum period provided for in paragraph (a-2) of this subdivision.

§ 6. Subdivision 8 of section 93 of the private housing finance law, as added by section 5 of part L of chapter 56 of the laws of 2025, is amended to read as follows:

8. Notwithstanding any other provision of this section, the maximum combined local and municipal taxes, other than assessments for local improvements, that a project operated by a housing company established pursuant to this article, and which is eligible for a tax exemption pursuant to any other subdivision of this section, shall be required to pay in a city with a population of one million or more shall be no more than the equivalent of five per centum of the annual shelter rent or carrying charges of such project or, upon consent of the local legislative body, the amount of such taxes may be further reduced to five per centum or less, including a full reduction, of the annual shelter rent or carrying charges of the project. Upon the consent of the local legislative body of the municipality, other than a city with a population of one million or more, in which the project is located, the amount of such taxes may be further reduced to five per centum or less, including a full reduction, of the annual shelter rent or carrying charges of the project. Any such granted consent to reduce the amount of such taxes shall expire every ten years. If such authorization is not renewed, the rate of taxation shall revert to the level established before the consent was granted. For the purposes of this subdivision, "shelter rent" shall have the same meaning as such term is defined to have in paragraph a of subdivision one of section thirty-three of this chapter.

§ 7. This act shall take effect immediately.